Raúl M. Ochoa
rmochoa@interacciones.com
+52 55 53268600 x 6112
Brian Flores
lbflorese@interacciones.com
+52 55 5326 86 00 ext 5759

Bimbo: we expect a good 1Q15 due the incorporation of Canada Bread and Saputo along with Mexico's consumption improvement

We reiterate our Buy recommendation, TP $44 MXN

April 21st, 2015

Grupo Bimbo SA CV
BIMBOA MM

Price (MXN, as of 04/21/2015)	P$42.67
Buy	
Target Price	P$44.00
Stock Price Return	3.1%
Dividend Yield	0.4%
Expected Total Return	3.5%
Market Cap (MXN mn)	200,686
Shares Outstanding (mn)	4,703.2
Free Float	24%
Beta (3 yr, vs MEXBOL)	1.05
Daily Value Traded (avg, USD mn)	6.9

Source: Interacciones and the company

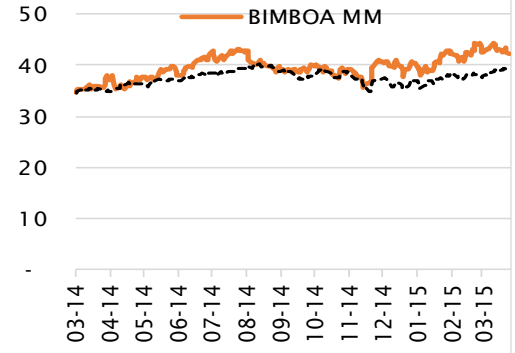
Canada Bread and Saputo's consolidation would favor revenues – Along with consumption resilience in Mexico, the good performance in both the US and Canada markets, would compensate for Latam weakness. Stronger job creation and consumer confidence would favor the recovery in Mexican operations during coming quarters. We expect a moderately positive effect for the stock price.

Mixed results in Latam's operations - Without per-country sales information, we can comment that operations in Colombia and Chile would be acceptable, in the meantime, Brazil faces tough consumption conditions and high comparison base, while in Venezuela and Argentina, the high inflation rates and weak currencies would affect operations seriously.

Margins should improve thanks to the operation in North America together with productivity improvements– Canada operations have good margins, combined with Corporate focus on productivity and efficiency, which would lead to slightly higher operating and EBITDA margins. 5 year lows in raw materials' prices have also helped.

Net Income would display improvement - We are estimating an increase of 18% in Net Profit, taking into account the higher interest expense that arose from the acquisition of Canada Bread and extraordinary charges presented in previous quarters.

BIMBOA MM vs MEXBOL



Source: BMV

Multiples	2011	2012	2013	2014	2015E
P/E	41.9x	98.9x	47.0x	63.4x	38.6x
P/BV	4.3x	4.5x	4.4x	3.6x	3.5x
EV/EBITDA	20.0x	20.7x	16.2x	15.3x	13.1x

Estimates	2011	2012	2013	2014	2015E
Revenues	133,496	173,139	176,763	188,795	212,067
EBITDA	13,569	12,773	16,170	18,675	21,884
EBITDA Margin (%)	10.2%	7.4%	9.1%	9.9%	10.3%
Net Income	4,785	2,029	4,270	3,163	5,198
Net Margin (%)	3.6%	1.2%	2.4%	1.7%	2.5%
EPS	1.02	0.43	0.91	0.67	1.11
BVPS	9.92	9.51	9.70	11.74	12.29

Source: Interacciones Research and the company

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Quarterly Results' Estimates

BIMBO	1Q15e	1Q14	Chg %
Revenues	50,121	41,979	19.4%
Operating Profit	2,296	1,543	48.8%
Operating Margin	4.6%	3.7%	0.9%
EBITDA	4,386	2,893	51.6%
EBITDA margin	8.7%	6.9%	1.8%
Net Profit	605	513	17.8%
Cash Flow	2,945	1,850	59.2%
EPS	0.129	0.109	

Figures in MXP million except EPS

Source: Mexican Stock Exchange, ICB estimates

Company Description

Grupo Bimbo, S.A.B. de C.V. is the market leader on bread-making. Bimbo produces over 10,000 products and offers a portfolio of more than 100 high-prestigious product families, such include: Bimbo, Marinela, Barcel, Ricolino, Oroweat, Arnold, Mrs. Baird's, Thomas', Brownberry, Entenmann's, Pullman, Plus Vita, Nutrella, Sara Lee, Fargo, Lactal, Silueta, Ortiz, Martínez, and Eagle. As well as Canada Bread, which consolidates results, since June, 2014.

Bimbo has 175 plants distributed throughout the world, among them, 41 are located in Mexico, 69 in the United States and Canada Bread has 25 plants.

Bimbo reaches consumers through more than 2.2 million sale points and products with presence in 20 countries worldwide: Argentina, Brazil, Canada, Chile, China, Colombia, Costa Rica, El Salvador, Guatemala, Honduras, Mexico, Nicaragua, Panamá, Paraguay, Peru, Portugal, Spain, United States, Uruguay and Venezuela.

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Interacciones Casa de Bolsa
México
Paseo de la Reforma 383, Piso 15, Col. Cuauhtémoc,
06500. Ciudad de México.
Tel. +52 (55) 5326-8600, Fax +52 (55) 5326-8747

Interacciones Research

Strategy / Managing Director, Research
Luis Vallarino, CFA	lvallarinom@interacciones.com	+ 52 (55) 5326-8778
Ulises Castro	umcastrog@interacciones.com	+ 52 (55) 5326-8600 x5748

Industrials
Juan F. Rich	jfrichr@interacciones.com	(55) 5326-8600 x4486
Karl G. Martínez	kmartinezv@interacciones.com	(55) 5326-8600 x4581

Construction / Materials
José Helue Mena, CFA	jheluem@interacciones.com	(55) 5326-8600 x6178
Andrés Audiffred	aaudiffreda@interacciones.com	(55) 5326-8600 x4516

Financials / FIBRAs
Enrique Mendoza	emendozaf@interacciones.com	(55) 5241-3915
José Luis Cuenca	jcuencag@interacciones.com	(55) 5326-8600 x6997

Retail / Transportation
Francisco Guzmán	figuzmanm@interacciones.com	+ 52 (55) 5241-3917
Isabel Rosado	cirosadom@interacciones.com	(55) 5326-8600 x4470

Telecommunications / Consumer Goods
Raúl Ochoa	rmochoa@interacciones.com	+ 52 (55) 5241-3918
Brian Flores	lbflorese@interacciones.com	+ 52 (55) 5326-8600 x5759

Technical Analyst
Agustín Becerril	abecerril@interacciones.com	+ 52 (55) 5326-8600 x6108

Corporate Access
Marcos Barreto	mbarretog@interacciones.com	+ 52 (55) 5326-8600 x6172

Economics and Fix Income
Carlos Fritsch	Prognosis	+ 52 (55) 5326-8600 x7218
Fernando Lamoyi		+ 52 (55) 5326-8600 x7218

Database & systems support
Isabel Rueda, Carlos Briseño

Production Services
Ismael Talamantes

Institutional Sales

Managing Director of Institutional Sales
Guillermo Zevada	gzevadap@interacciones.com	+ 52 (55) 5326-8748

Lawrence Eden	leden@interacciones.com	+ 52 (55) 5326-8633
Yelena Ramirez	yramirez@interacciones.com	+ 52 (55) 5326-8699
Alfonso Rivera	ariverag@interacciones.com	+ 52 (55) 5326-8771
Diego Barroso	dbarrosor@interacciones.com	+ 52(55) 5326 - 8723

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